

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

You are an audit manager at Chan & Chan CPA Limited. Recently, your firm accepted a new audit engagement for the year ending 31 March 2024 for ChatAI Inc ("ChatAI") which is a prominent technology company specialising in AI language chatbot services. ChatAI operates in multiple geographical locations, including mainland China, Hong Kong, Korea, and Singapore.

The company completed a series of fundraising and is currently preparing to kick-start its IPO process, with plans to go public and list on the Main Board of the Hong Kong Stock Exchange. ChatAI aims to leverage its strong performance, innovative technology, and global presence to attract potential investors and achieve a successful public listing.

The company is currently in the development stage and continuously experiencing losses. It does not expect to turn around its financial performance within the next two to three years. However, due to the trendy and promising nature of the AI industry and the company's market position, its valuation has been steadily increasing over the past few years. This trend in valuation is reflective of investor optimism about ChatAI's long-term prospects, despite the current financial challenges. Investors are seemingly confident in the company's innovative capabilities and its potential to capitalize on the expanding applications of AI technology. This confidence sustains the company's market value and attracts further investments, even as it continues to navigate through its early developmental phase and associated financial losses.

With operations spanning multiple countries, ChatAI has a diverse customer base and a global presence. ChatAI operates on a membership-based model, offering users various subscription packages with flexible payment options such as per-chat, weekly and monthly plans. To support its operations, ChatAI relies on complex IT systems consisting of interconnected components. These systems enable seamless integration between operational activities and the finance system, ensuring accurate financial transactions. ChatAI has implemented automated controls to effectively manage its different subscription plans and maintain proper billing practices. ChatAI also relies on the system to automatically calculate monthly revenue and deferred revenue based on the subscription plans subscribed by users of the application.

As part of its expansion, ChatAI has acquired several technology companies over the past years. This expansion strategy has not only broadened ChatAI's technological capabilities and market reach but has also led to significant accounting implications, including the recognition of goodwill and intangible assets. Some of the acquired companies have a financial year end of 30 June. Goodwill is attributable to the acquired market shares, future expansion prospect, economies of scale and synergies expected to be derived from combining the resources and operations of ChatAI post-acquisition.

The management of ChatAI undertook a meticulous process to allocate the acquired goodwill and intangible assets. These allocations were made to various reporting regions, reflecting the geographical and operational scopes where the benefits of the acquisitions are expected to manifest. These regions were identified based on the lowest level of cash-generating unit (CGU). This level is critical as it is the smallest identifiable group of assets that generates cash inflows largely independent of the cash inflows from other assets or groups of assets.

The management performs the annual goodwill impairment assessment. The assessment involves comparing the recoverable amounts of each CGU or group of CGUs to the respective carrying amounts. The recoverable amounts are calculated using a value in use model. The calculation incorporates various financial assumptions, including projected cash flow growth rates, discount rates and risks specific to the asset, and other relevant economic factors. If the carrying amount of the CGU, as recorded on the statement of financial position, exceeds its recoverable amount, an impairment loss will be recognised.

ChatAI completed several rounds of fundraising in prior years, attracting investors from various countries. To support their operations locally, the funds raised were deposited in local banks of the respective countries where the investors are located. This approach ensured that the necessary financial resources are readily available for local operations and facilitates efficient management of funds across different geographical locations.

The predecessor auditor issued an unqualified opinion for the FY2023 audited financial statements for ChatAI. Below is a table providing an overview of key financial statement line items for ChatAI as at year end, which is prepared under Hong Kong Financial Reporting Standards.

	2024 Unaudited HK\$'000	2023 Audited HK\$'000
Cash and cash equivalents	428,000	525,000
Trade receivables	102,510	95,800
Goodwill	300,000	300,000
Intangible assets	48,000	60,000
Trade and other payables	(38,000)	(21,000)
Convertible bond	(200,000)	(200,000)

Question 1 (9 marks – approximately 16 minutes)

Propose the audit procedures over the opening balance for each of the three financial statement line items for the year ending 31 March 2024.

- (a) Trade receivables
- (b) Trade and other payables
- (c) Convertible bonds

(9 marks)

Question 2 (11 marks – approximately 20 minutes)

- (a) Explain to Andy, who is an audit junior, the procedures on circulating bank confirmations.
- (b) Besides the confirmation procedures mentioned in Question 2(a), propose additional audit procedures to address the risk of material misstatements relating to the accuracy and existence assertions of ChatAI's cash in banks.

(6 marks)

(5 marks)

Question 3 (10 marks – approximately 18 minutes)

- (a) Assuming the audit materiality applied for this year audit is HK\$45 million, evaluate the risk of material misstatements relating to ChatAI's goodwill in terms of valuation assertion as at year ending 31 March 2024.
- (b) Propose audit procedures to address the risk of material misstatements relating to the valuation assertion of the goodwill.

(4 marks)

(6 marks)

Question 4 (10 marks – approximately 18 minutes)

- (a) Explain what is IT general controls and its implication for financial reporting.
- (b) Design audit procedures to test the IT automation controls relating to auto calculation of monthly revenue.

(3 marks)

(7 marks)

Question 5 (10 marks – approximately 18 minutes)

As ChatAI is preparing for its IPO in Hong Kong, Keith Cheung, the CFO of ChatAI, is considering the establishment of an audit committee and studying the corporate governance requirements in Hong Kong. He seeks advice on the matter.

Keith has proposed himself and Robert, the CEO, to be members of the audit committee. Additionally, he intends to invite a former partner of your firm who retired half a year ago to be the Audit Committee Chairman.

Required:

- (a) Explain the Corporate Governance Code adopted by the Hong Kong Stock Exchange for a company listing on its Main Board. (2 marks)
- (b) Advise and explain to Keith on his proposal on the composition of the audit committee with the requirements of the Corporate Governance Code. (8 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 6 (12 marks – approximately 22 minutes)

Sasha Property Development Limited ("Sasha") is a listed company which develops properties for sale in Hong Kong. You are the auditor of Sasha. The audit materiality for the current year audit is set at HK\$5 million. During the year, Sasha recorded the following transactions with the related parties A, B and C. These related companies have a common shareholder with Sasha.

1. Construction fees paid to Related Party A ("A")

Related Party A is the main construction contractor which constructs the properties for Sasha. According to an agreement entered between Sasha and A, the construction fee is based on the actual incurred labour costs and direct materials incurred by A. An issued billing to Sasha is on a monthly basis. The billing is not a fixed amount which varies month by month depending on the actual costs incurred by A. There is no detailed breakdown of such costs provided by A in its invoice. The total construction fees of HK\$25 million paid to A represents more than 70% of total construction costs of the properties incurred by Sasha.

2. Lease expenses paid to Related Party B ("B")

Sasha leases an office from B based on the lease agreement for a term of five years. The rental charge is based on prevailing market rates. The total rent paid to B amounted to HK\$1 million.

3. Loan to Related Party C ("C")

Sasha has advanced a loan of HK\$50 million to C, without charging any interest and no repayment terms.

Required:

Based on the above information, analyse the risk of material misstatements associated with each of these related party transactions recorded by Sasha. Explain your answers.

(12 marks)

Question 7 (12 marks – approximately 22 minutes)

The audit team is now assessing the misstatements identified during the audit of the financial statements of Bio Limited ("Bio") for the year ended 31 March 2024 to determine whether the identified misstatements might have an impact on the auditor's report in accordance with HKSA 450 *Evaluation of Misstatements Identified During the Audit*. Below is the table which summarises the identified misstatements.

Unadjusted differences (HK\$'000)	Notes	Assets Dr/(Cr)	Liabilities Dr/(Cr)	Equity Dr/(Cr)	Profit/Loss Dr/(Cr)
(a) Overstatement of inventory cost	1	(800)	-	-	800
(b) Understatement of impairment loss on an intangible asset		(500)	-	-	500
(c) Misclassification of a convertible bond	2	-	(5,000)	5,000	-

Notes:

1. The overstatement of inventories represented the factual errors identified due to an incorrect formula being used in the system.
2. It is related to a convertible bond issued during the year which, according to the terms, should have been classified as liability. However, management wrongly classified it as equity.

Based on the management accounts, the key financial information of Bio before these unadjusted differences are:

(HK\$'000)	2024 Dr/(Cr)	2023 Dr/(Cr)
Assets	30,500	22,000
Liabilities	(22,000)	(19,000)
Equity	(8,500)	(3,000)
Profit for the year	Profit (500)	Profit (8,000)

The assets represented mainly intangibles, inventories and cash at bank. Liabilities represented trade payables, accruals and income tax payables. Bio did not have any bank borrowings but had issued the convertible bonds which are required to maintain financial covenants.

The audit materiality was set at HK\$1,000,000. You are the audit manager of this engagement. You are currently performing analysis of these audit differences which comprises quantitative analysis including the relevant impact to Bio's financial position or performance and qualitative analysis including the consideration from the perspectives of the financial statements' users or its creditors.

Required:

Prepare a memo to the audit partner documenting your quantitative and qualitative analysis of the identified misstatements to determine if you consider these unadjusted differences would impact the audit report.

Note: You may present your supporting calculation in table form. A maximum of 2 marks for analytical skills and 2 marks for communication skills will be awarded.

(12 marks)

Question 8 (10 marks – approximately 18 minutes)

First.com is a travel agency which is listed in Hong Kong. A&L International CPA ("A&L") has been the auditor of First.com since its listing. Aron was the engagement partner from 2020 to 2023. Leo was the engagement quality control reviewer ("EQCR") from 2016 to 2023. On 1 January 2024, Aron was promoted to the head of his audit group and Leo, being in the same audit group as Aron, is now required to report directly to Aron.

Required:

- (a) Identify if there is any independence threat in the composition of the engagement team and propose safeguards (if any) to mitigate the threat.

(5 marks)

- (b) In March 2024, First.com suffered a cyber-attack and its server was hacked. The hacking resulted in the leakage of its customers' personal information but did not impact its accounting system. The chairman of First.com has requested A&L's consulting team to review its IT system and provide advice in strengthening its cyber security controls.

Regarding the IT-related consulting service (non-audit services) by A&L, advise the audit team's considerations and responsibilities under the Code of Ethics for Professional Accountants.

(5 marks)

Question 9 (16 marks – approximately 28 minutes)

Fantasy Entertainment Limited ("Fantasy") had an investment in an unlisted company named Moonlight Limited ("Moonlight"), which is a film production company. As of 31 March 2024, the investment in Moonlight was presented as financial assets through profit and loss which was carried at HK\$50 per share. According to the accounting policy, the management is required to revalue Moonlight at each of the reporting dates, and any gain or loss to the fair value is recorded in the profit and loss.

Management has engaged an external valuer to determine Moonlight's fair value. As set out in the valuation report, the external valuer adopted a market approach and benchmarked to a listed company (Company A) with an assets and capital scale similar to Moonlight. Company A is engaged in the film distribution business. As at 31 March 2024, Company A's share price is HK\$52 per share.

Management adopted the fair value of HK\$52 based on an external valuation and recorded a gain of fair value of HK\$2 per share in the profit and loss for that year. The total amount of gain is material to the financial statements of Fantasy.

Required:

- (a) Evaluate the risk of material misstatements relating to valuation of Moonlight estimated by the management expert. (10 marks)
- (b) Based on your risk assessment in Question 9(a) above, design your audit procedures to assess the fair value of Moonlight estimated by the management expert. (6 marks)

* * * END OF EXAMINATION PAPER * * *